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Greater China Technology Semiconductors | Asia Pacific

Computex takeaways: Cloud, PC and old memory

Data points suggest a stronger outlook. The memory optimization on server is more of a supply issue. Recent share price volatility should provide a good entry point.

Key Takeaways

- Stronger outlook for CPU, GPU and peripherals (e.g. CXL) in 2027
- Agentic PC has not taken off yet, but PC semis remain stable on orders/GM into 2H26
- Old memory: stronger pricing for legacy flash into 2H26
- We continue to like cloud semis and old memory over PC semis

Cloud semis: Need more supply for strong demand: GPU servers continue to ramp up with some minor changes to specs. CPU servers see strong demand mainly on AI/agentic applications ([link](#)). The lower DRAM content on ARM servers is more of a supply issue ([link](#)), while we see stronger demand on CXL to expand RDIMM usage in x86 CPUs. CPO-related components could see earlier pull-in from 1Q27 to 4Q26.

PC semis: Agentic PC makes sense but is very expensive; better than feared 2H26

outlook: Not only are there CPU and memory upgrades in RTX Spark NB, but we also see some brands upgrading the screen to 4K. For the DT, we learned potential specs could be 128GB DRAM with 4TB SSD; starting pricing point at US\$10k. Near term, we think PC semis customers are willing to pay the price hikes on memory. This suggests the PC semis GM could remain stable even with the further wafer cost hike from foundries in 3Q.

Old memory: likely in more shortage: We believe legacy NAND (SLC), could enjoy stronger growth outlook into the next two years. SLC NAND could be used as the high performance eSSD in the datacenter ([link](#)). Meanwhile, we also believe SLC will be used by hard disk drives to enhance performance. We also noticed high-density NOR pricing hit US\$8 from the prior US\$1 at channel, likely driven by 2x content in VR vs GB.

Stock implications – stay bullish amid market volatility: We continue to like cloud semis (Aspeed, Montage, both OW), old memory (Winbond, Macronix, APMemory, Gigadevice, all OW). PC semis could see a better than feared 2H outlook. Parade (OW) and Elan (OW) have new growth drivers vs Realtek (EW), Novatek (UW), Asmedia (UW).

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Industry View

Attractive

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Key takeaways

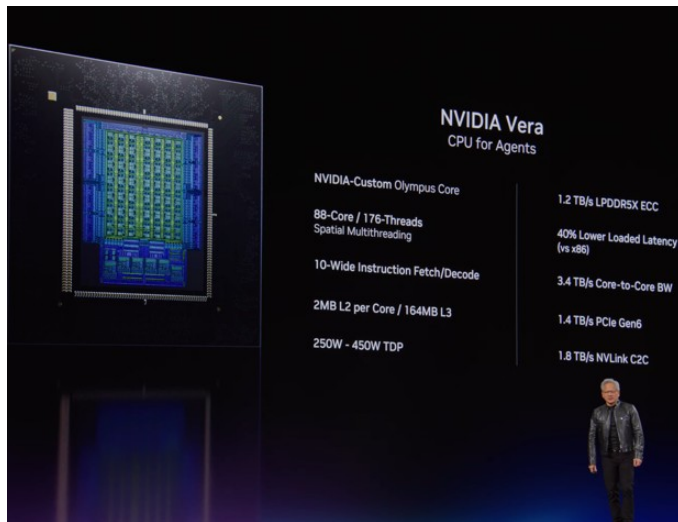
Cloud remains strong, especially on the CPU side:

Vera CPU is built for running agents, aside from pre-training, post-training and inference. Highlights include: 1) high IPCs (instructions per clock) - 10 instructions fetched, decoded, and executed per clock; 2) high bandwidth per core - each of the 88 Olympus cores is provisioned with up to 14 GB/s of memory bandwidth; 3) high external bandwidth of 1.2 TB/s and high core-to-core bandwidth of 3.4 TB/s; 4) high energy efficiency, as the first CPU to use LPDDR5X. Vera achieves 3x more bandwidth per core vs x86 CPUs with DDR5, and 40% lower peak memory latency vs x86, 1.8x agentic sandbox performance of x86 CPUs.

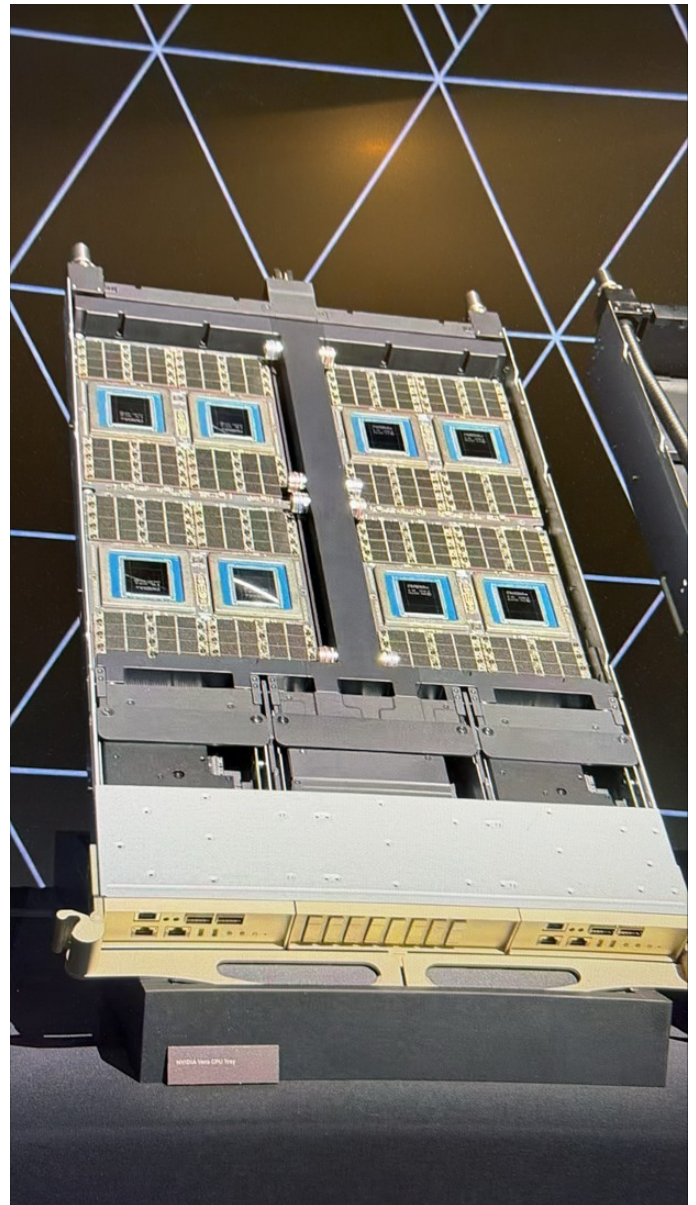
During his meeting with financial analysts ([link](#)), Nvidia's CEO mentioned that they plan to sell millions of Vera CPUs; half of those will be in the headnode, and outside of headnode, the other half of the CPUs are to orchestrate workloads or to be in storage servers. When asked about the future CPU to GPU ratio, his response was that it's hard to guess the ratio, but that the AI factory is valued for tokens, so he would suggest his customers to maximize the amount of Vera Rubin NVL72 racks, and put as many CPUs as necessary, while as few CPUs as possible to support the GPUs.

We believe the 2.5mn-4mn units of Vera CPUs in preparation for not just Vera Rubin but also standalone Vera CPU servers ([link](#)) represent a strong opportunity for Aspeed from its BMC content, and will be neutral for Montage as it continues to use SOCAMM rather RDIMM modules.

Separately, during Marvell's keynote speech, Nvidia's CEO shared his view that as useful AI arrives, agents have a particular computing pattern which is disaggregated and distributed, and that connectivity is necessary in the agentic AI computing process. This reaffirms our positive view on Montage as a leader in global memory interface chips and China PCIe interconnect chips.

Exhibit 1: Nvidia Vera CPU specs

Source: Nvidia

Exhibit 2: Close-up look of a Vera CPU tray

Source: Nvidia

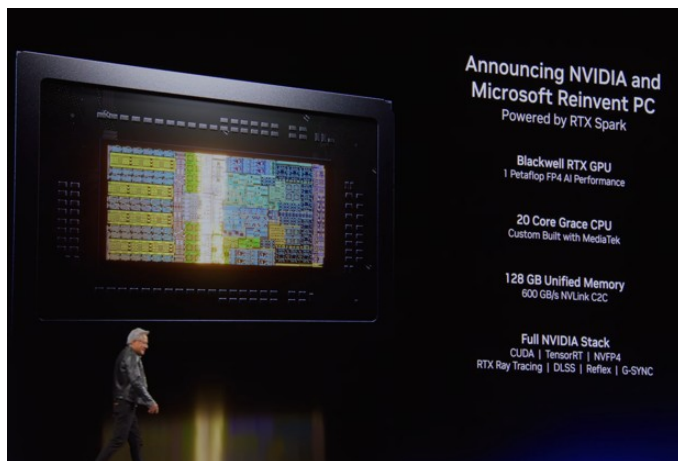
AI PC is a positive driver but could take time to materialize:

During his meeting with financial analysts, Nvidia's CEO described the future AI PC as assistants that run all the time with easy access and strong agentic capabilities. The idea is to reshape what a PC is, from what is similar to a typewriter today to becoming an assistant in the future, implying significant ASP upside per PC. He believes the future AI PC will be run by agents smart enough to fully utilize the full features of the operating system and software, and as PCs become agentic (with "useful AI"), inference takes off. AI PC is not meant to be a competition to the agents run on cloud, as the cloud AI models will still be smarter, but the on-premise AI models will be smart enough; for example, Nemotron Ultra 3 is near the frontier and as good as the frontier model 6 months ago. AI PC will be uniquely useful when handling local files and local tools compared to AI on

cloud.

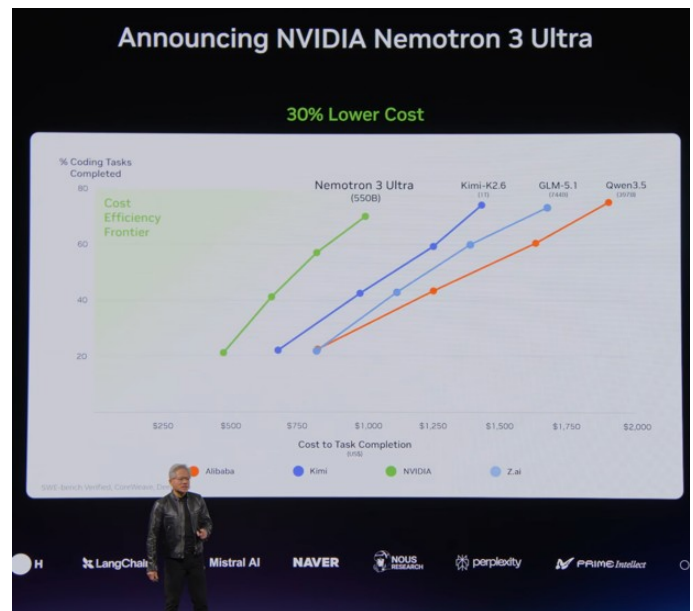
While AI PC is a positive driver for the PC semi names, their price points seem expensive. Our checks with PC brands at this year's Computex ([link](#)) suggest AI PCs with N1X will need to price at US\$2,899, while N1 models will be priced at US\$1,799. Our view on PC semi names remain cautious due to compressed demand and elevated component and manufacturing costs. On the positive side, customers seem fine with price hikes, and therefore we now believe PC semis players could see a better than feared 2H outlook. Parade (OW) and Elan (OW) have new growth drivers vs Realtek (EW), Novatek (UW), Asmedia (UW).

Exhibit 3: Nvidia RTX Spark Laptops with Blackwell RTX GPU, Grace CPU, and 128GB unified memory



Source: Nvidia

Exhibit 4: Nvidia's Nemotron Ultra 3 open model is cost effective and fast



Source: Nvidia

Exhibit 5: Integrated AI vision & camera system for drones will be a major growth driver for Elan



Source: Elan

Exhibit 6: Realtek's single-chip solution for ethernet and high-speed IO integration



Source: Realtek

Old memory:

Kioxia shared their latest view on NAND demand and technology in the context of AI inference and especially agentic AI. Data center NAND bit demand is expected to grow at a 34% CAGR from 2025 to 2031, with AI inference CAGR at 56%, based on numbers quoted from Techninsights. In the era of agentic AI, inference becomes multi-step with increasing compute demand; long context increases data and KV cache, making storage efficiency and bandwidth critical; rack server systems grow in importance requiring frequent access to large data.

Kioxia proposed 3 key development directions for SSD products, namely super high IOPS GPU direct storage; high performance / high capacity context memory storage; and ultra high capacity training & inference data storage. The GPU direct storage solution is what we believe adopts Kioxia's proprietary SLC chip ([link](#)), which we believe is positive for legacy NAND vendors in our coverage, namely GigaDevice, Winbond, and Macronix.

More details on the GPU direct storage: HBM has very high performance but limited capacity, so there is a gap between data size and memory capacity. SSDs serve as an extension layer, but traditional data transfer goes through CPUs, which causes delays and overheads. GPU direct storage solves this by transferring data directly between SSD and

GPU. This reduces latency and improves efficiency. As a result, SSD can extend HBM with large capacity. This allows GPUs to handle larger data sets more efficiently. For example, with direct high-speed data transfer enabled by GPU direct storage, graph neural networks can stream large data sets from SSD to GPU with low latency, and RAG systems can process vector database indexing faster and more efficiently. With GPU direct storage, HBM, DRAM and SSD work together as one memory system.

Exhibit 7: Agentic AI transforms inference



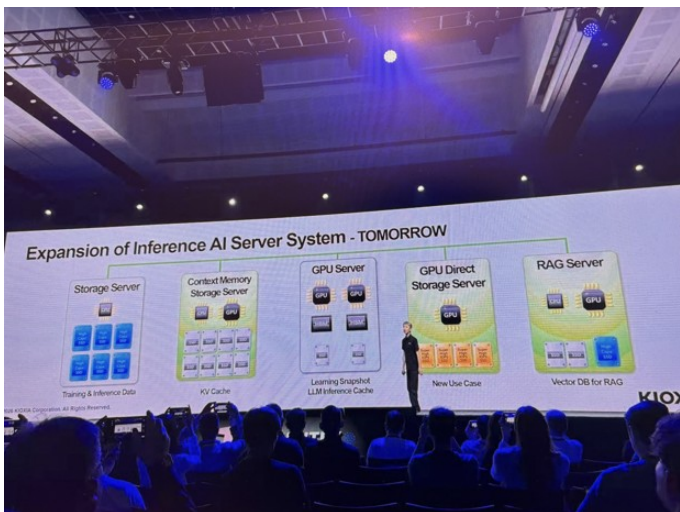
Source: Kioxia

Exhibit 8: GPU direct storage



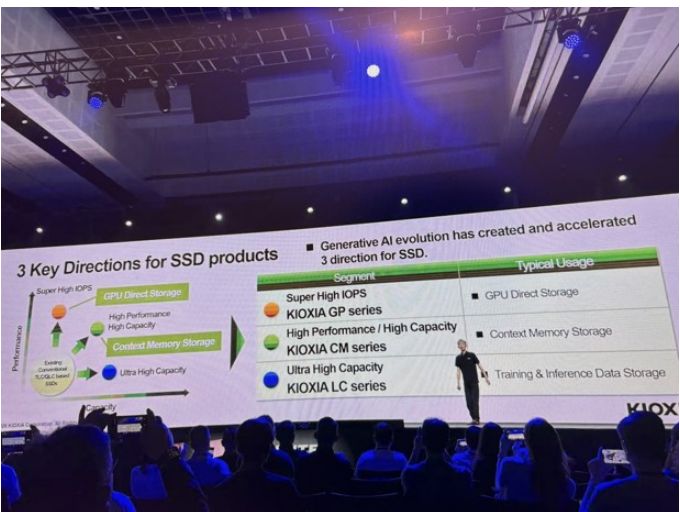
Source: Kioxia

Exhibit 9: Expansion of inference AI server system



Source: Kioxia

Exhibit 10: Key directions for SSD products



Source: Kioxia

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/05/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$76.29
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb276.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$156.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,285.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$577.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,299.20
Global Unichip Corp (3443.TW)	E (05/28/2026)	NT\$4,410.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$811.00

Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$520.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$145.30
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$410.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$309.50
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb104.77
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,300.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb710.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$360.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb603.36
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb95.39
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,450.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb107.74
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$582.00
SMIC (0981.HK)	O (10/21/2025)	HK\$75.65
TSMC (2330.TW)	O (02/07/2022)	NT\$2,365.00
UMC (2303.TW)	O (05/19/2026)	NT\$131.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$161.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$483.50
Daisy Dai, CFA		
ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$176.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb66.58
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$158.50
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb98.73
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb33.95
Innoscence (2577.HK)	E (10/13/2025)	HK\$71.55
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.65
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$28.80
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb130.93
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb113.18
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb75.14
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb42.66
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb102.87
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$1,010.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,525.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,505.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$116.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb120.25
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb488.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$150.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$368.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb239.39
Novatek (3034.TW)	U (02/04/2026)	NT\$492.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$178.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$736.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$74.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$643.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb55.32
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$162.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$114.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$281.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb126.00
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb520.01
Tiffany Yeh		

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,120.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$908.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$20.08
Hon Precision (7769.TW)	O (04/17/2026)	NT\$7,275.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,765.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$258.70
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$8,425.00

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